NEAR ZP — 9h Quoting Review

Dynamic vol-based quoter · Window 2026-09-07 21:54 → 09-08 06:54 UTC (Asia session) · NEAR –1.64% (O 2.311 / H 2.383 / L 2.248 / C 2.273) · Prepared 8 Sep 2026

1. Headline

Metric	Value	Read
Total PnL	–$375	Loss is hedge execution, not quoting
MM PnL (passive book)	+$1,085	9 of 10 active venues positive
Hedging PnL (HEDGERV2 + GAMMA)	–$1,461	~1.3× gross MM profit given back
MM volume / net	$1.50M / –$11.1k	Inventory well controlled in a –1.6% move
Flow-level capture	+1.3 bps	Sell avg 2.30527 vs buy avg 2.30234
Markouts (vol-wtd)	–1.8 to –2.4 bps (60–300s), –0.5 @600s	Short-horizon momentum pick-off, mean-reverting
Capture (MM venues)	4.6% avg, 1/10 venues >10%	Consequence of barbell ladder shape
2% depth compliance	35% (uptime 99%)	Sitting exactly on the 400 bps boundary — KPI risk

Bottom line: the vol-scaled passive book works — thin but positive after adverse selection. The session P&L was lost in hedge execution during the downtrend, and the depth-compliance number is a live mandate risk because the max-spread calibration puts the back-of-book exactly on the ±2% line.

2. Venue scorecard

Venue	Vol $	PnL $	Buy avg	Sell avg	Mkt-out 180s	Capture	Action
OKX	312k	+215	2.3011	2.3007	–1.7	8.3%	Hold; averages reflect trend, not toxicity
BINANCE	289k	–103	2.30764	2.30820	–2.1	3.8%	Min spread < 1 tick — raise or accept queue game
COINBASE	230k	+138	2.29888	2.30846	–0.2 (+ at 60/300s)	5.8%	Increase weight
BYBIT	183k	+243	2.29510	2.30333	–1.2	7.3%	Hold — balanced, healthy
GATEIO	142k	+228	2.30103	2.30495	–3.2	3.4%	Watch
KUCOIN	140k	+166	2.30853	2.30736	–5.3	1.9%	Widen or shrink L0; monitor
BITGET	81k	+155	2.30137	2.30682	–4.3	9.9%	Watch markouts
KRAKEN	81k	–114	2.30690	2.30534	–7.6	5.3%	Widen / cut top-of-book — worst on book
BITFINEX	22k	+225	2.28572	2.30033	+2.3	52.0%	Increase weight, modestly
BITSTAMP	18k	–68	2.31076	2.31863	–2.0	3.7%	Hold — small

Markouts are the cleaner toxicity read than buy/sell averages: in a trending session the averages conflate spread capture with inventory drift (a net seller into a decline mechanically shows sell avg < buy avg). OKX and KuCoin both look “inverted” on averages but were net sellers of $19.9k and $13.3k respectively into the fall — and both printed positive PnL.

3. Findings

3.1 The hedger is the P&L problem, not the quoter

- HEDGERV2 (Binance): bought avg 2.31724, sold avg 2.29135 on $239k — roughly a 45 bps negative round trip, –$1,085. Classic trend-chasing: crossing the spread after the move.
- OKX GAMMA: one-sided $33.8k buy (avg 2.29853) into a falling market, –$376.
- The book ended only +$5.2k net long after a –1.6% move, so inventory control was fine — the cost is in *how* the hedges executed, not in carrying risk.

3.2 Markouts: mild, momentum-driven adverse selection at the touch

- Vol-weighted markouts –1.8/–1.9/–2.4/–2.4 bps at 60/120/180/300s, recovering to –0.5 at 600s. The fills are being picked off by 1–5 min momentum, then price mean-reverts — a slightly slow reference price, not informed flow.
- This roughly cancels the +1.3 bps flow-level capture, which is why gross MM P&L is thin relative to $1.5M of volume.
- Dispersion is large: Kraken –7.6/–9.5 bps (180/300s), KuCoin –5.3, Bitget –4.3/–4.9 vs Coinbase roughly flat-to-positive and Bitfinex +2.3. Kraken's profile looks structural (arb flow), not vol-driven.

3.3 Tick size makes min-spread scaling partly cosmetic on USDT majors

- Tick ≈ 4.3 bps on the USDT venues; configured min spread equals 0.7 ticks on Binance, 0.9 on OKX/Gateio, 1.1 on Bybit/Bitget. Effective min spread is 1 tick regardless of the vol function's output — a dead zone where (vol/ref)^scale × base < 1 tick and the scaling does nothing.
- On Binance this pins quotes at the tick, first in queue — consistent with its –2.1 to –2.5 bps markouts and slightly negative PnL on the largest volume.

3.4 Ref vol ≈ realized median → system floored much of the session

- Ref vol 151% vs realized ~110–190% (mostly 115–130%). By end of window: min spread flat at base 3 bps, size flat at max $150k, spread multiplier 1.00 — dynamic mode effectively off, quoting full size at tightest spread into a still-drifting market.
- Mid-session the plotted min spread (4.5–7.5 bps) implies the multiplier runs off a faster vol than the smoothed chart shows — see open question Q3.

3.5 Scale asymmetry compresses the ladder in high vol

- Vol min scale = 1.0 vs max/size scale = 0.5: min spread grows linearly with vol while max grows as √vol, so the ladder squeezes from the inside during spikes. Combined with the L0→L1 gap (3 bps → ~50 bps), high-vol regimes are quoted almost entirely 50–190 bps out.

3.6 Depth compliance 35% is a calibration artifact — and a mandate risk

- Back-of-book width medians are 398–407 bps against the 400 bps (±2%) threshold, uniformly across venues (compliance 32–37% everywhere). The book sits exactly on the line; compliance is a coin flip driven by vol scaling, not venue behaviour.
- Base max spread is 190 bps/side on every venue. With a KPI mandate this is the single most urgent config change: cut base max ~10–15% (to ~165–170 bps/side) or cap the max-spread multiplier so BOB stays inside 400 bps including scaling.

3.7 Capture (4.6%) is the barbell ladder by design

- L0 carries ~1% of notional ($1.5k of $150k on Binance) at the tick, then nothing until ~50 bps. Good toxicity protection, low market share — Binance capture 3.8% despite the largest deployment. If the mandate carries volume/presence KPIs, add a level in the 10–25 bps zone.

4. Recommendations

#	Recommendation	Priority	Rationale
R1	Cut base max spread to ~165–170 bps/side (all venues) or cap the max-spread vol multiplier so BOB ≤ 400 bps incl. scaling	**High**	Compliance 35% with medians straddling the ±2% line; direct KPI exposure under the mandate
R2	Review hedger execution: widen delta bands / reduce urgency in trends; prefer passive hedging or heavier quote-skew before crossing	**High**	–$1,461 vs +$1,085 MM; 45 bps negative round trip on HEDGERV2. Pending setup details (Q1)
R3	Kraken: raise base min spread and/or cut L0 size	**High**	Markouts –7.6/–9.5 bps, negative PnL, only $80k volume — worst risk/reward on the book
R4	Binance/OKX/Gateio: set base min spread ≥ 2 ticks (~8–9 bps) — or consciously accept the 1-tick queue game	**Med**	Current config quotes below/at 1 tick; scaling has a dead zone and fills at the tick carry –2 bps markouts
R5	Coinbase: increase size weight	**Med**	Flat-to-positive markouts at every horizon on $230k volume; the healthiest large venue
R6	Bitfinex: modest weight increase only	**Med**	Best PnL per dollar, but already 52% of a $42k market — marginal fills won't resemble current ones
R7	KuCoin: widen or shrink L0; re-check after a week	**Med**	Second-worst markouts (–5.3 @180s) with lowest capture (1.9% of $7.3M) — paying toxicity without share
R8	If mandate has volume/presence KPIs: add a quote level in the 10–25 bps zone	**Med**	Closes the L0→L1 barbell gap; lifts capture from 4.6% at controlled toxicity cost
R9	Reconsider ref vol / floor policy: either set ref vol nearer the low end of the regime or add a drift/momentum term so “floored” ≠ “max size at min spread during trends”	Low	End-of-window state was full size, tightest spread, into persistent drift
R10	Investigate the ~1–5 min reference-price lag (faster fair-value input or short-horizon momentum adjustment)	Low	Would attack the –2.4 bps markout at its source rather than via spreads

5. Open questions (to be answered)

- **Q1 — Hedger setup:** Is HEDGERV2 a delta-band taker (crossing spread on inventory threshold)? What are the bands, and is passive hedging / quote-skew available as first resort? (Owner to revert.)
- **Q2 — Fees:** Are the per-venue PnL figures net of maker fees/rebates? This materially changes whether Binance at 1-tick spreads is economic at all, and the true cost of the hedger's taker fills. (To be checked.)
- **Q3 — Which vol drives the multipliers:** 300s halflife, 1800s, or max of both? And is the multiplier floored at 1× (spreads never below base)? Charts suggest fast vol + a floor, but this should be confirmed — it determines how quickly quotes re-tighten after spikes.
- **Q4 — Mandate KPI definitions:** Exact depth/uptime/capture obligations per venue, so R1 and R8 can be calibrated to the actual thresholds rather than the generic ±2% proxy.
- **Q5 — EDX / LCX / Bitget-EUR:** Report shows $23k done on EDX with no market data, and no data for LCX NEAR-EUR and Bitget NEAR-EUR. Confirm whether these should be feeding the monitor (compliance is unmeasured there).

Source: NEAR_ZP_9h_20260908-0654Z.html (10/11 venues reporting, uptime 99%) and Binance dynamic-mode dashboard snapshot (SGT). Dynamic-mode settings are end-of-period snapshots. Figures assumed gross of fees pending Q2.